TIP857: S&P Global, Novo, Deckers Brands w/ Stig Brodersen, Tobias Carlisle, & Hari Ramachandra

Podcast: we study billionaires

AI Executive Summary

Full Transcript

You're listening to TIP. Welcome back to the Investors podcast episode 857. In today's episode I joined by my friends and fellow value investors Tobias Carlisle and Hai Ramachandra. We're doing another round of stock pitches and this time all three are stocks the market is falling out of love with. We kick things off with the Horace pitch of Novo and two years ago it was the most valuable company in Europe. Today, it most certainly is not. And it trades at 12 times forward earnings. And Hardy explains why he thinks the bad news is already more than reflected in the price and where he sees hidden value that the market does not appreciate. And I pitch S&P Global. It's a wide-mode business with a long runway to grow. And I took a 1% position just two hours before we recorded at 399 a share. And this is my first new position in more than a year. And during my pitch, I hope you'll find out why there is more than meets the eye and why the risk of AI disruption is overblown. And finally, Toby walks us through Deckers, the owner of Hoekarn and Ock, at 11 times earnings with plenty of net cash on the balance sheet. This is a classic Toby pick, and I mean that as a compliment. I almost want to say that it can't go wrong, but as we all know, those would be famous last words. All right, let's jump to it. Since 2014, with more than 200 million downloads, We have interviewed the world's best investors, studied deeply the principles of value investing, and uncovered many compelling investment opportunities. We focus on understanding businesses and intrinsic value, investing accordingly, and sharing everything we learn with you. This show is not investment advice. It's intended for informational and entertainment purposes only. All opinions expressed by hosts and guests are solely their own, and they may have investments in the securities discussed.

Now for your host, Stig Brodersen. Welcome to the Investors podcast. I'm your host, Stig Brodersen. And today for our mastermind discussion, there's always some here with my friends, Hari and Toby. Jens, what's going on? Hey, Stig. Hi, Hari. How are you? Hey, Toby. It's good to see you both. And hello to everyone. Happy to be back. Fantastic. Yeah, it's so good seeing you. And let's just jump right into it. Hari, let's hear your pick first. Yeah, sure. I think we were just discussing before we started recording. It's been a

brutal market and a confusing one, too. There are few winners, few maybe winners who are not yet public, but then there are a lot of losers in the game. So I was looking at some of the ones that has lost its shine or the loud was much loud before but not anymore kind of opportunities.

So my pick today is one of those companies, which two years ago was the most valuable company in Europe. Stig, no points for you for guessing. I'm pretty sure you will know. And pretty much everybody owned it. I don't know whether you owned it, Stig, but pretty much a lot of people, a lot of ETFs, a lot of funds owned this company. The analysts really loved it. But today that stock is down 40%. and from its 52 week high. And it's trading roughly around 12 times forward earnings. And basically everybody's saying, party's over here. The company I'm talking about is Nova Nordisk. It's a Danish company. The ticket symbol is NVO. It's the maker of Azampik and VcoV. I hope I'm not butchering the name of the drug.

But I think they are well known by Osampic. Osampic is pretty much a household name now. Even if somebody is not taking it, they would have heard about the name. But the reason I like this pick or I am pitching it is, it's a company that's 100 plus year old, great business. I wouldn't call it as a deep value. I'm pretty sure Toby will disagree that this is a deep value. But it's a Good business at a price that assumes that it's a melting ice cube So just kind of for background for those of you who don't know what is Novo as it's known has been updo They have been in this diabetics therapeutics for over 100 years One of the things to note is this is one of those companies like many of the European companies. It's controlled by a foundation so that makes the dynamics a bit different. It's almost like Meta or Google where the founders have the majority of the voting rights. Here the foundation has. So it gives the staying power, it gives the long-term thinking but then also it has the risk that no activists or shareholders can change the direction. So that's kind of the positive and negative. In the past, say from 2021 to 2025, their sales compounded about 19% a year Kagger and earnings also about the same rate and their current operating margin or well I would say current operating margin has reduced it used to be like in the 50s now it has kind of you know reduced to 40% but it's still healthy compared to many other competitors and I see it as a company that's mainly focused on obesity and diabetes They have been making insulin drugs for a

very long time, but their obesity drugs are the one that are catching a lot of attention in the past few years. So there were the creators of this category, the GLP-1 drugs. But why is it cheap now? Mainly because of three reasons. One is Eli Lilly kind of stole their shine from them because Eli Lilly has this drug called Tezapatride, which has shown to work better in weight loss than Novo's drugs, especially the next generation drug, Kagri Seima that they have launched. And Eli Lilly has taken up 60% of the market share when Novo is still the second best, but Eli Lilly has the lead now. The second thing is the Medicare negotiated prices are kicking in starting next year. So that might put some margin pressure and the semi-glutide patents, which are all kind of diabetes and weight loss related drugs, they're all expired in India, China, Canada, Brazil and other countries. So you can expect that generics will show up soon. So that's the other margin pressure they might be facing in the near term. And the third is the the company itself kind of guided down the sales and so it's like down up to 2030 they're working on their pipeline but right now that's the risk that by 2030 if they don't have some of the pipeline that they are hoping will bring them good results they might be in trouble. So that's what the market is pricing in. So market is pricing that this franchise is gone they might not be able to come up with something good at this point of time. So what we are paying for is that an assumption that they will not be able to innovate and come up with something new. And I'll talk more about what that new is and why we should be watching. So in terms of valuation, as I said, 12 times forward earnings for comparison, Eli Lilly is 24 times.

Only Pfizer is in their territory around 10 to 12 times. Everybody else is priced higher. So my assumption is base cases even in a mediocre scenario, if they can't come up with another blockbuster, the earnings are in the mid-single digits. And then we get a dividend of 4.5% to weight. And the payout ratio is quite healthy. It's 50%. However, one caveat there is They're working on a new pill based obesity drug. Kind of a pill based or something. Think of it that way to compete with Eli Lilly. And that is doing well. Actually, it's picking up sales. The latest annualized estimate is that it might become 2 billion in revenue for them. But the ingredients, it has more ingredients that goes into it and they are different. So they're in the last year, they spend quite a bit of their capex on it to build and expand their factory. So there is a temporary dip in their free cash flow. In fact, their free cash

flow is less than their net income last year. So even though the payout ratio is 50%, it's not completely support. It's more than 100% of that free cash flow only for last year. So that's also scared the investors. So it's kind of a temporary dip. The CEO also changed.

The new CEO joined last year. He is working through some of the restructuring. So those are all some of the negatives again. So what I get is a mid-single-digit earnings growth, a low P multiple that hopefully will not compress even further, and 4.5% dividend to wait. The upside, however, is the overall franchise, the pill I just talked about. is successful, it is showing already success but it's kind of continues to grow. Even if Eli Lilly is number one and Novo is number two, it's a pretty big market. If you go to the pill based solution for obesity and diabetes, so it can have worldwide adoption, so they can still make money out of it. But on top of that, they are working on a next generation pipeline that will compete with Eli Lilly.

And I'll be watching out. It's called as amicritin. It's in phase three trials right now and we'll get to know by 2028 if they launch it. But I'll be watching out for that because that will change the equation. If it is successful, that upside is not at all baked in. Right now, what is baked in is they go from a great company to a mediocre company. They will settle in for number two in obesity and diabetes. next to Eli Lilly and they'll stay there. That to me is like a 8 to 9 percent over the next five years. Returns max 10 percent including the dividend. But if they do choose success with the new drugs, they have few more but I am just highlighting the one that is really important. The returns can be in the upwards of 18 to 22 percent.

which I it's very hard to model that so I wouldn't go too much into the number but it'll be significant then what the base case that I'm assuming for. So this is not a double in next year kind of a pitch in this market. I'm looking for a bet that is safer that can give me decent returns while also protecting my downside. So that's kind of my pitch for Noh, Toby and Stig. looking forward to your questions. Harry, I enjoyed the presentation. When you look at something like to Zepetite, which is the competitor, and I've seen some influencers suggesting that I don't understand this stuff particularly well, but it targets an additional pathway that a Zempik or Wigavi doesn't target and as a result, it might be a little bit better. And I see

a lot of the the guys who are like bodybuilder types mentioning to Zepetai they have the micro dose to Zepetai to control their hunger. Do you think that that is this sort of a technological arms race where the better compound wins out over the lesser compound over time or is this something where there's a big enough market there's enough of these sort of.

different use cases that everything can coexist. Actually, that's a very good question. And that's one of the reasons why the stock is down, Toby. Is it a winner-take-all kind of a business or is it going to be like a duopoly? Right now, NOAA is positioning itself as the cost-effective alternative with slightly lower efficacy. So there might be some segments that will pay up. for tessipateite, assuming any other innovation is not coming from NOVO. They were the segments created. It's almost like it was their game to lose and they lost it. Because there was an approach, as you just mentioned, that Eli took that NOVO ignored. My suspicion is, NOVO, if I look at them historically, they're really good at insulin and obesity and diabetics. That has been their kind of narrow, Expertise they have never been able to do anything outside, but in this they're really good at churning out product portfolio one after the other and My suspicion is no will catch up in some aspects in terms of efficacy to the point where it might be still slightly less effective than tessapatite for example, but It might compete on cost, but you're right. I think that is the risk the bet here is the market is big enough and one of the other things that they mention is the body type in the sense that everybody reacts to medicine differently unlike say an iPhone and Android it's like a just by the product here it's the product and the body type and the component and the body type so there might be a subset of our category of patients who might react better to say Noah's drug compared to Thespotite But it all depends. From what I've seen so far, it's not a winner-take-all. Eli has definitely an edge over them, and they have 60% market share today. NOVO is close second, but at the risk is there might be other competitors too, but I think these two are the major players. But yes, that's the risk we should factor in. All right. Thank you, Hari. You know, it was interesting that you mentioned that a few years ago it seemed like everyone owned NOVO.

For me, being born and raised here in Denmark, I feel like for the past 40 years, everyone has always owned it and always wanted to talk about it.

And I don't know, I'm always a bit torn about no, right? Like you look at the French, right? And you're the top three market companies they have. It's a mess, LVM8 and L'Oreal. It just, it sounds a little better. And at its peak, it used to be worth more than all the companies in C25, which is sort of like the Danish equivalent to the S&P 500. And you're like, so what is that like diabetes and obesity? It doesn't ring as well as UMS, you know, what, what can I say? But it is the stock that everyone owns here and everyone wants to talk about it. And so whenever people, you know, you're at the dinner party, whatnot, and people always ask like, what do you do? And sometimes Sometimes you fall into the trap of actually telling people what you do, what you're never supposed to do. So I actually just a quick hint to other people who are doing the same thing. Just say you're in finance. Just tell people you're in finance and people boss off right away. They don't want to talk with you. So that's good. That's the short one. Now, so everyone here wants to talk about no, and of course, no one re-top on it. The way that I probably come across this as smug for saying this, but No one who owns Novo here in Denmark would ever read their annual report. That is not, you know, the stock analysis of most people. They're like, there's a lot of obese people by Novo and my parents own Novo and I'm going to own Novo and everyone else. And so it is to me, at least to say it's a very tricky stock. You pitch Merck some time ago and what I'm very interested in whenever it comes to to big pharma is very much what are the systems? Because you always have, it's easy to look at the IP and when does that expire and then that's the cliff and that's the issue. But so I'm very much looking at the system. So if you can paint some color around that party, why is the Nova system better? Or perhaps it's not, but perhaps it's already priced in. So I'm curious to hear how you think about that. Yeah, actually, that is one of the things I was looking into when I was looking at this talk as okay it is cheap but why there is a reason and is it a value trap that was my concern because as you said stick they're pretty much always concentrated between diabetes and obesity that has been their case they have not been very good at acquiring into new areas in terms of expanding their time if you will however i think there's no shortage of folks in these two segments because if you see many countries in fact like India is going through a diabetes pandemic of sorts where the diabetes even there is like childhood diabetes and all that stuff that is on an increasing trend for various reasons. So they

have enough market for this. It's sad to say that but that's a reality. But I think the key here is can they innovate?

And the cliff is what you brought up is the most important thing. 2030-2032 is when the cliffs are coming and by then some of the drugs in the pipeline that they have and the amicron is one of the four in the forefront. And that's the one that is also which is quite substantial for them. Are they able to successfully navigate that? and regain the efficacy leadership. So it's basically, as Toby was also pointing out, it's like an arms race that's going on. It's almost like open air and anthropic in the AI world. So these two guys are fighting for who has the most effective drug for obesity right now because that's where the big money, the rest, I think, rest of the stuff like insulin, diabetes, it's a settled market. They have their leadership.

They have pipeline there. It's not going to change, move the needle that much. But here, it's like who has the efficacy because this is where the customers or the patients are also very keen on efficacy. And these two are like the models from Anthropic and OpenAI. Basically, they are going neck to neck. Sometimes one goes lower, the other one catches up. That's what is happening now with amicritin is like their next version to compete with tessapatite which is the market leader today in terms of efficacy. I don't remember off the top of my head what's the efficacy and what's the delta but it's enough for many people like just to be was giving that example to say hey tessapatite works better for me and it's also like how ozampic if you remember a while back ozampic was all the rage. It was becoming like a verb for obesity fight. Now it's despotite. But I think if amicritin is something that can take over, that's what I'll be watching actually. The key here is I'm expecting really good returns if they're able to be successful with amicritin and that's the risk here. Else, you have to be satisfied with the mediocre return of 8 to 9%.

which I'm hoping might be better than S&P considering the current market valuation and where we are. I think S&P, correct me if I'm wrong, P ratio is in the mid 20s or higher, like, you know, something like that. So, and they are trading half of where S&P is trading. So my thesis here is most of the bad news is baked in. There is also a leadership change that is baked in. into the stock already. So the way market is trading is that it is going to be a

mediocre company going forward, which will basically fight on having cheaper drugs, but not the innovation leader. That's the valuation it is getting right now. And if nothing happens, it will stay there for a while. But if they're able to get out with some good drugs, including amicritin and others that they have by 28, 29, 30, then the valuation will also change accordingly. And thanks for sharing that context on working with the regulators, I think. That is an interesting one too. Today, there is a lot of debate with the AI companies as well about how they want to do regulation capture or regulatory capture. I think pharma companies are masters of that in a way. So, yeah, that is another mode that I didn't cover actually. Thank you, Steve, for pointing that out.

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What they're saying in fact you saw many people came out and said hey if you think your product is dangerous to the society Stop releasing it. So I think that's Yeah, there is a risk of regulatory capture and especially in this early stage of the game and I think the risk is not for other big companies like Google or Microsoft or Meta, the risk is for a lot of startups and the open source community. That is what I think a lot of people are against in case of AI and they fear that it will become like pharma where you have years of FDA approval, a team of lawyers you need to have and then only the big pharma can win and it becomes very hard for smaller companies to win in the game and bring innovation and the space of innovation slows down. I think that's kind of the They always use pharma as an example. If you see in many of the podcasts or discussions, they always use pharma as an example saying, do you want us to be like FDA having an FDA for AI? It will slow down the innovation, it will become like pharma and we don't want to get there. So that's an interesting comparison and to see how the AI industry is looking at pharma. All right.

Fantastic. Thank you so much, Hari. Toby, will you allow me to take it away with my pick? I took a new position just a few hours before we hit

record. And I know for a lot of people, a lot of listeners, it's not a big deal because they do that all the time. It's been more than a year ago since I last initiated a position. I have all kinds of biases like everyone else, I guess, but I sometimes tend to get bored. And so it's not good to get bored whenever you invest. And so I set up all kinds of God rails for myself not to invest too often. And one of the things that I do here, just holding this up here to the camera is that I always force myself to read at least three years of earnings releases before I can put a cent into a stock. And lo and behold, it actually works quite a bit because that means that I don't think that, oh, this sounds exciting. Let me invest in that. Anyways, the stock that I'm going to pitch that I just took a position in here today is called S&P Global. A lot of people probably are familiar with that stock. And it's typically, you guessed it, they're the guys behind S&P 500. And a lot of other products we're going to talk about here today. And so I sort of like wanted to talk a bit about like how It sounds ridiculous whenever I say how I found the stock. Because it's not like it's a hidden gem to be talking about S&P Global. I feel like it's a company a lot of people know. But the way I came into this was really that, like many other value investors, for me, it's always fun to go through the 13F filings. And I'm not looking for any hot stock tips whenever I do that.

It's a bit more like I have a lot of filtering mechanisms. One of them is, you know, I speak with you guys, you know, it's to me, it's super, super helpful. And being the cheapskate I am, the way I look at 13A filings, which is the filings that a lot of, I think technically it's asset managers registered in the US for the least 100 million as under management. And so I kind of feel like, you know, being the cheapskate is almost like having free stock analysts. That's sort of like how I'm looking at it. But unfortunately, since I don't pay them anything, they don't give me any stock report. All that tells me are they're holdings and then I have to fill in the blanks. And so I like to just look up and see if there are any patterns, if there are any kind of stocks that's very popular and it's just sort of like a way to see, huh, perhaps there's something there. And I know this probably sounds a little silly because one of the things that I found interesting was S&P Global that Chris Hone bought a bit more.

Crisone started this position in 2017. So why is it that this quarter it was appealing? I don't know. It's one of those things that you look at someone

for a very long time, you see what they're doing, and then all of a sudden, there's almost like something that clicks. And to me, it was interesting because there was a cross over with a new holding with our friend of the podcast, Groomstand, who, by the way, also have a significant position in Tobi's pick. That's a different discussion. And anyways, I have a lot of respect for Chris and Chris. And so whenever there is a crossover, I was just like, okay, taking a look at it, there was a bit of insider buying, trading at an attractive price. Let's see what's going on. So that was sort of like, that was the starting point that I just want to say once again, that doesn't mean that anyone should go into that trade by any means. But you know, it's a way of sort of like have a lot of lot of filters out there and just sort of like to have an idea of where you could start and then more often than not, you know, you stop after 10 seconds and you're like, this is just rubbish. But then with S&P Global, it just seemed to be more and more appealing as I kept on digging more into it. So if we look at the company, there are four segments, probably the one that they're most known for is their ratings business. That is around half of the operating income. And so basically what they do is they rate for example, corporate bonds. So let's say that your alphabet and you're looking to raise capital and you're doing through the bond market. But then you need to get a rating to figure out like to basically give a public investors the information they need to make an informed decision. And then lo and behold, they'll of course charge for that. And so it's a very interesting business model. The business itself is interesting because they're basically three players. And so The number that you might see getting thrown around is that S&P has 49%, Moody's 33% and then fits 14%. That's probably not how I would look at it. And the reason for that is because it's not all ratings that are as attractive as others. For example, your public markets are more attractive than private markets. They're different pricing for investment grade and high yield and so on and so forth.

The way I'll probably look at this is that S&P has 45%, Moody's around 40%. And then FIT is really a distant third. And then there are some others, but you can just for simplicity, not really consider them too much. And really what I found to be very appealing about the ratings business is that whenever you have an autogopoly, which this essentially is, there are substitutes. So if you don't buy Boeing, you're probably buying Airbus. That's not how the ratings business work. They complement each other. So

if you have a Moody's rating, you also need an S&P rating. And you even have regulations that are helping you because for a lot of companies, it's actually mandated. They need to have the ratings of the big rating agencies. So partly you are protected by that regulation.

What's even better is that it also makes sense for you because if you don't have, partly, you might have problems actually clearing your mandate to issue the sponsor in the first place. But also, there's adverse selection here. So if you can't say that S&P or Moody's, for example, have rated you, you have to pay a higher price. And so it actually you save money as a company by paying Moody's or in this case, S&P. And then As S&P, you don't only make money whenever those bonds are issued. They also have the so-called surveillance fees, where they continue to update the ratings. So very interesting business model. Then another business segment they have are the indices. It's only 10% of revenue, but it's 20% of their operating profit. And so that is perhaps the best known is the S&P 500, but they have a ton of other indices. And if you're a Vanguard, you don't pay as much because you have so much scale.

So it's sort of like a tiered pricing model and it's probably less than one basis point that they're paying. And of course, the information is not public, but you can sort of like try to triangulate from whenever Vanguard like moved money away from MCI and back in, for example, 2012, there's some data on that and then there's a new or so. You can sort of like try to triangulate, but the biggest providers probably pay less than a basis point, probably around half a basis point, but. We're still talking about trillions and trillions of dollars. So it's still still adsop. And then the two smaller business segments are market intelligence and energy. You can think about market intelligence. I think probably the most prominent service to have is capital IQ. You can think about that as a competitor to Bloomberg's terminal. Actually, it's just been rumored here not too long ago that they might spin it off. And then they also have an energy division. So but those are the two smaller divisions. And again, there's a big difference whenever it comes to margins. So for example, indices is 69%. The margins ratings are 65, whereas market intelligence is only 24%. So just something to keep in mind. Going to this segment here about risks and why this opportunity exists, I'm almost inclined to see that I don't see major risks at these two

ratings indices. And of course, That's ridiculous to say that because capitalism is brutal. I think that if I have to highlight a few different things, I would say especially whenever you're looking at such a high quality business. And the market typically is very good at recognizing if it is a high quality business, especially if you have recurring revenue. So there is of course a risk in terms of are you overpaying? That's always a risk. And especially if you're looking at something that looks so stable as S&P like, is there a cliff out there just to use or borrow a phrase from the company that the heart is looking at like, and it doesn't look so much to be the case. You can probably make the argument that with private credit, that could be some competition coming. And it's not because S&P doesn't doesn't go into private credit. It's just because they don't make as much money whenever they're rating that.

is probably something like 70% less per dollar of debt. And then you don't have the surveillance to tell it. It's very much because you have these private markets and sort of like you have two parties that are very big in the negotiate with each other. But buying lots, it's also numbers game because whenever you're looking at the biggest of the biggest companies, you have to go into public markets. At least that's the way it is looking right now. So it's not because private credit can't erode a small part of the business. I would probably say the bigger risk is not so much. What's the interest rate? Is it going up? Is it going to be a short? Let's call it a pause, like if you see a sharp increase in interest rate. I think the way I would probably more looking at this is if that stops growing, then S&P is in a world of trouble, not just with ratings, but also with indices. And I'd probably argue then on the world that's on a fiat currency standard, you're not going to see that all of a sudden just stop. I think it's a pretty secular trend. That's the short version. I don't want to go through the whole macro thesis. But if you truly believe that we're going to see less debt creation moving forward, don't buy Isn't Peak Global. Now, we have to talk a bit about AI. We always talk about AI.

And I do think whenever you look at the stock price, it looks like it's going sideways for the past five years ish. And I do think that one of the reasons, I think there are many reasons, but one of the reasons is that there have probably been some concerns because S&P is seen as a data company. And

I can see why AI could be a threat to the market intelligence division. Keep in mind, the market intelligence is not a big part of that. And if you're looking at something like capital IQ, we're probably looking at something like 6 to 8% of the market cap if they got spun off. So it's like, it's, I don't think it's the most severe thing, but you know, the market doesn't always look at a company and weigh every single part. If it sort of like gets the reputation that this is a data company and AI is going to disrupt all data, I do think that's one of the reasons why I also think that there is probably some valuation that they're trying to to work off. It used to trade at 40 PE back in 2021. Now it's closer to 23. And it's because earnings have gone up and I do think that it will continue to be so. Jens, let me throw it over to you guys. I still have a section here about the management and also a bit about valuation. But I wanted to hear from you guys first here before I continue the thesis. I'll go first. I'm a huge fan of SPG. It's one of the world's great companies.

incredibly moaty, incredible high returns on invested capital, very well protected. As you say, if you think that the world's going to keep on issuing debt, then stay away. But I think that's a pretty good bet that the world's going to keep on issuing debt. It's a name that's been around for more than 100 years, 100 plus years. Yes, spectacular business, one of the world's great businesses. The stock chart going sideways for five years, isn't anything to do with the quality of the business it's holy to the price. And so you know i'm the value guy so that's really where my interest is talk to me a little bit about where you see the valuation and what you see the returns like from here given the price. I sometimes feel that it's whenever you see a stock chat that's moving sideways or even seeing one that's just.

Going south, you're like, oh my god, this is an amazing opportunity. And then depending on your mood, sometimes you're like, oh, this is gone off for the past five years. It's probably going to continue. So if we can go a bit away from that and look at the fundamentals to your point, you're absolutely right. That is also how I read it. Well, whenever you go through the numbers, they're just printing cash. And it's really looking like they're just, it was just overvalued. And now the market sort of like ceases in a different light. I think that's probably part of it. And I also think that there's probably a self-fulfilling prophecy for a lot of investors, especially because

so many people are chasing momentum. It doesn't look very appealing unless you look at the fundamentals. Whenever I'm looking at the shareholder yield, I would probably be comfortable underwriting a 1% dividend and then a 2% share buyback. And I think a lot of people would find that, especially the share buyback, to be quite conservative.

If you're looking at the numbers right now, we're closer to five, but some of that has been debt financed. They also, they did a, they were spending off the mobility segment, which gave them some cash that they could use buying back more shares. So I think that's probably overstating that part of the shareholder yield a bit. Also, the management has been out talking about their optimal leverage and they're a bit above the target. And they have a pretty conservative target, I should say. But I think this is from memory. But I think it's around... They have their own adjusted EBITDA, of course, like any other company. I think at the time of recording, it's like 2.7. I think the one to be between 2 and 2.5. But adjusted EBITDA is probably just going to increase in any case. But also, of course, you can do that by paying up debt. So I wouldn't underwrite too much in terms of shareback. I'd probably say 2% would be quite conservative. I wouldn't be looking at the trailing 12 months here.

In terms of revenue, they've been talking about 6% to 8%, which I also find to be a bit conservative. But of course, if you add all those numbers up, you were going to say, oh, it's double digit, and perhaps low double digit. I wouldn't be surprised at all also because you've seen the multiple compression. I wouldn't be surprised at all if you saw a double over the next five years, which would give you 15%. There are a few things I would like to mention here that I actually very much like. They did a spin off of the mobility segment here. There's back in July. And so you can think about that as roughly 20 per share in terms of value. So you have to adjust for that as you're looking for that. Now, I also like the rumors about spinning off capital IQ. But it's a bit more because it's a bit counterintuitive for a lot of companies. Like no one wants to rule a smaller kingdom. So whenever you have those spin offs, it always makes me excited because Finding companies that are a truly shareholder friendly can sometimes be a bit challenging. And so I like what that signals. So to answer your question, Toby, I'd probably say anywhere between 10 to 15%. You know, it's kind of

tricky. Like, whenever I try to model the intrinsic value, I'm probably around 450 to 500. Like if you put me on spot and I started a I had a 1% startup position here today. I bought it 399. As you can tell, it was very important for me to buy it below 400, which just happened to be two hours before we started recording here today. I could easily be wrong. And of course, I hope I'm wrong in the right direction whenever I say that because it also depends on how long do you think the runway is. And it's also tricky because especially if you look at the ratings business, it can look pretty choppy.

But for example, if you're looking at something like the hyperscalers, it's a small part of their overall business. I think it's something like 3%, but it's 30% of the growth. And so you might be thinking, hey, that doesn't make any sense. Like what's going on parties because the hyperscalers used to spin off so much cash and they're not doing that anymore. But it's also because you have this massive number of companies that are just debt financed. And that's just the way it works. And so that's all that goes to my point before where, yeah, you know, sometimes they might delay raising new debt. If there's some chatter about XYZ and then you see whatever is going on at the Fed and like, but at the end of the day, they need debt. And so that was a very, very long way of saying 10 to 15%. And I feel pretty good about those returns because I feel like on the lower end of that, there's a very strong downside protection and I still think that there are some upside there around 15%. It also comes down to this, what is the certainty of those returns? And I feel like to use your words, it's one of the world's greatest companies. And that's very much what I'm looking at. Yeah, a very, very interesting pick is taken. As Toby said, this is one of those companies, Moody's and S&P Global. Those of us who have been admirers of Buffett, we have heard Buffett saying, Moody's or S&P is like a great business always looked in envy because the valuations were always very high and now here we go, we have an opportunity where the PE ratios are looking quite attractive. But then again, when a great business is priced at a low PE, low valuation, there are reasons and thing that I am looking at and where I wanted to get your perspective on is their market intelligence division that segment generates around close to five billion dollars in business, roughly as much as the rating business, if I'm not mistaken. And within that, it's a heterogeneous set of services like the capital IQ desktop terminal, like

products is one, there is also data and feeds business where they kind of, you know, main companies that are there.

Customers are the insurers, private data companies and banks and stuff like that. And then there is enterprise software business they have where they sell loan market platform and private portfolio monitoring tools and stuff like that. Then there is credit risk solutions, which is basically an extension of the rating into the workflows of the companies. The last one I'm not too worried because I believe the rating business is robust. It's almost like what Buffett is to say, like, you know, if you tell me that you want to put anything other than Regulus chewing them in my mouth, will I just to try something? Similarly, like, you know, anybody who wants to get their debt or equity rated, they would go to S&P or Moody's. Otherwise, nobody would trust them or many wouldn't even accept. So that business to me is quite safe. But I think what market is Like when I was looking at their PE, they are at 23 now. They used to be in the 39-40 range. If you deduct 80% of their market intelligence revenue and translate it into earnings, then kind of, you know, they will be at 39 almost in my rough calculation, like 39-38 PE. So the way I look at it is the market today is discounting their market intelligence business heavily. And there are reasons for that. One is The desktop business, as you mentioned, is under attack from smaller startups, which are growing substantially. One of them is Alpha Sense, which hit a 600 million in revenue recently. There is another one. I forget the name right now, but there is another one, which also is quite interesting to look at ROGO. Sorry, I just remembered. ROGO is the other one. These competitors are actually funded by S&Ps.

customers like JP Morgan, Goldman Sachs, Wells Fargo, they are all backing these startups. And with 600 million ARR, ROGO is 50 million ARR. These guys are growing and they're trying to take away market share on the market intelligence side, especially the desktop terminal and the feed, the analysis, the credit risking portfolio monitoring. These areas also the other thing that is happening is As AI is becoming more prevalent, things are moving from terminal to insights. So earlier, you used to employ a lot more analysts who are all watching the terminals, using the terminal to get insights. Now, with AI coming in, I mean, at least the thesis is that you

would no longer need that many analysts so that number of seats might reduce. And two, AI will do the job for you rather than having terminal.

That is where I the way I look at it is you're getting I'm probably not getting a steal and Market is discounting what would happen in the next few years So I'm still buying this great company and a great franchise in credit rating at the usual P that I would have bought it. So So my expected returns would be still same had I bought it at 38 39 considering the headwind. So that's kind of what I'm worried about and I wanted to get your perspective on the market intelligence segment. Yeah, I am pretty skeptical about market intelligence. So I think you bring up a great point. Let me pull up the numbers here. So you're actually right, market intelligence ratings are approximately same share of revenue. But the margins are very different. So market intelligence are only 17.9% of operating profits.

And one third, roughly, of market intelligence is, for example, capital IQ. They don't break that out, I should say, in the public filings, but you can do a lot of triangulations with AI these days. And I also think, you know, case in point, AI, we have to talk about, especially when it comes to market intelligence, and how that's going to disrupt financial services. To me, it's a little bit tricky to wrap my head around. And let me... explain why I, and perhaps I'm naive, I'm not too worried, at least right now, whenever it comes to Claude coming in and disrupting them. And of course, they're also connected with all interfaces. But it's not so much Claude, even though a lot of their customers were already being Claude. They need the data. And they're not shy of saying that 95% of the data is proprietary. It's 88% specifically in market intelligence.

Now, just because data or proprietary doesn't necessarily mean that it's great data, you can think about this. Actually, it was quite interesting because we started talking about 13F filings. And so they were specifically asked into this in one of the earnings calls. And so what they said was that the way that could also think about proprietary data was 13F filings or not, but you can still find the 13F filings on their terminal. But they're sort of like putting their own layer on top of what does that mean then? And then the question is, well, how important is it then what their insights is of their 13Fs? And of course, you can then ask questions and give you different data on that. But I

definitely think to your point that their competitors are partly it's right for disruption. And I would also say I don't have any reason to believe that something like CapsLiQ is better than fact sheets or Bloomberg's data.

I have no reason to believe that's the case. I definitely think that it's very commoditized. Now, I do think and I kind of feel like I'm copping out whenever I'm saying this. I don't think it's a cliff by any mean. It's description, more or less all the revenue is description. They need fast and reliable data. So that's also why I'm saying Claude is not a competitor rather the gates. They need that data to be reliable needs to be very good. they already trained on that. And for everyone who's been running a company knows that if you trained your team on a certain type of platform, it's very difficult to stop. And also very often the decision makers who might also be using themselves are not the one paying for it. So there are some, they're talking about mid single digits in terms of growth. I think you can probably underwrite something that's that's flat. I see a lot of pricing pressure on that segment. But I don't think it's material for the business as such, whether it's plus 5% or zero in my intelligence. That's not where that's coming from. I do think it's very interesting to follow. Now, of course, the mobility segment got a lot of attention, also got quite a bit of attention that the capital IQ might be spun off. But whenever you follow them, it's very interesting how often they will go in and buy different, it's called services or bundle of data or even companies, if you like, and then how often those things are being spun out. It's really interesting to see how they do that. So, well, the first thing is that I would definitely pay attention to that as you are trying to model the different margins, because if you're spinning off something like magnet intelligence, your margins are just bound to improve just by definition. But I definitely think it's very valid that you bring that up, Hari. As you can tell, I don't have a good response to that other than whenever you crunch the numbers, it doesn't change the overall thesis.

But I do agree that there's a reason why the market has this negative sentiment of them being disrupted in market intelligence. So here before I end my pitch, I just wanted to talk a bit about management and their compensation. I usually have like a segment in all the pitches where I just complain about management compensation. This is not going to be to be too different. It's not too bad, though. I think if you look at it. across the

H&P 500, it's probably moderately better than average. But I also think it's a very, very low bar. And it's quite standard. What do I mean whenever I say standard? So you have 8% of share of target would be base salary. So it's quite common. And then they have the remaining is what they call at-risk. And I really, really dislike that they're called at-risk because typically, and this is no different, you'll have a portion of that that isn't restricted.

share units, which basically means that as long as you have a pulse and don't get fired, you get free stock, which is whenever you think about it, not different than getting a base salary in the first place. So you're kind of like, is that truly at risk? In any case, without going through all the numbers, there is 18% is annual incentives with your standard adjusted numbers where they're trying to grow revenue, trying to grow EBITDA. And then of course, they adjust because You can't have gap numbers and management compensation. And then they have what they call long-term incentive with this 74% share of target, which is divided into some performance measures, of course, by adjusted non-gap numbers, and then restricted share units. I also want to say that the insider buying that I alluded to in the beginning of my pits are really not that significant whenever you start looking into it.

You know, they got a new CEO here. I think it was November 1st, 2024, as it is very common for CEOs. Whenever they start a new position, they would typically do a bit of insider buying. But it's like she bought a million dollars worth. And whenever you're making 12 million dollars a year, it looked a bit more like good faith. What I actually defined to be slightly more interesting was that it's quite common for large cap or mega cap CEOs to have this. It's called a 10B5-1 plan just rolls off your tongue. And so it basically means that you automatically sell with the East vesting. And the CEO has not done that. And it's almost like two years ago now since she became the CEO. So if you can see that as a bullet sign that she's at least not selling out of the shares she's getting. So anyways, I feel like I've been rambling for too long here about how excited I am about S&P Global. But I just wanted to throw it to you guys for any concluding remarks or questions. Yeah, it's a good one stick from my perspective and Toby would also agree. It's always like, I'm looking like, what is the catch here? Why are they offering us cheaper than it used to be? And that's where I think need to dig in a bit more. But definitely, it's one of the safer bets.

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Trading in futures involves risk of loss and is not suitable for everyone. Not all applicants will qualify. Plus 500, it's trading with a plus. This September, I was in New York for the Intrinsic Value Conference. The talks were great, but what I kept thinking about is what happened around them. On Friday night, about 20 of us crowded around a long table at a family style Italian spot near Times Square. Saturday, we did it again. And Sunday morning, a group of us were still debating Socrates over breakfast before everyone headed home. Many of the people at those tables had only known each other from our calls in the Mastermind community. That is the community I

host with Kyle Grieve and Daniel Manca. Each week, we get together on live calls to dig into markets and individual businesses. We bring in fund managers, operators, and authors as guest speakers. And a few times a year, like New York this fall and Omaha every spring, we meet in person. If you want to think in decades alongside people who do the same, apply for free at theinvestorspodcast.com slash mastermind. If your application stands out, I'll be the one to reach out to you personally. Alright, back to the show. Well, I like that you say that, Hari, because now we're in this crazy market environment where value investors are talking about P of 23s. It's like a bucket price. So I don't know if that's good or bad.

But luckily, I know that Toby's pick is not trading at a P of 23. Do I dare say Toby? It's a traditional Toby pick and that's meant as a compliment, I should say. Yeah, I take it as a compliment. Thanks. My pick is Decker's Outdoor. Decker's owns the Hawker running shoe brand and Ugg boots. That's a 10 point. So the stock price, when I prepared the 77 handle, market capitalization, 10.6 billion. PE is 11. They've got 1.6 billion in net cash on the balance sheet, no debt. Enterprise value is 9.7 billion. Revenue through to March 2026 was 5.5 billion, which was up 10%. Hocker grew 15.9%, but has slowed to the most recent quarter to 7.7%.

I grew 8.2% to 2.74 billion dollars. So it's about half hawker, half ag. It's not an SPGI. It's not as a moatier business as that. It's not a nova nor does a much more fragile business than either of those two. But there's a huge discount to those two as well. This is the sort of business that I like to buy in the funds that I manage. We look for things that are potential takeout. Candidates that are trading very cheaply on a financial basis so that the beginning of our analysis is the valuation and then we're looking for sufficiently good businesses. That have some growth built in not necessarily for the chip enough we don't need the growth but in this case there is some growth at 77 this is being priced as if it has no growth there are quite a few qualities of decors.

I quite like it's a very very clean business clean management clean balance sheet very well-defined products in their categories people absolutely love the hawker running shoe absolutely love a very loyal customers to those things. One share class independent chair Cindy Davis she used to be with

Nike so she knows the business all the directors are independent no related party transactions. The 1.6 billion in cash is about 11.75 per share, which is about 15% of the market value. It was trading north of 200 before the tariffs hit in April last year, and it absolutely collapsed when the tariffs hit. So that tells you part of the story. Part of it is also there's this folks who follow the market will know that the market's become very concentrated in a handful of the AI beneficiaries, the hyperscalers.

And everything else basically outside of those businesses is in a little bit of a bear market. They're all down quite a bit. You can look at a stock like Nike. It's way down. It's 80% off its peak. There are many examples of these previously were considered very high quality businesses that have sold off hugely. The Uggs are the, you know, that's the shelling shoe that's sort of turned inside out. So you have the wool on the inside. I guess the trademark they have the trademark, but they're obviously there are potential competitors out there. The CEO, Stefano Carotti, he's a million dollars in salary, three million dollars in bonus, six million dollars in stock. So, 60% of its equity grants. He's performance-based, vesting over three years. So, I like his compensation. There's no return on capital measure, which is what I would, you know, that's the old Buffett metric he liked to judge these guys and return on.

Return on capital. I don't think it matters so much because this is a naturally high return on capital business, but it's just something worth flagging. I think it's one of the very, I think it's a fairly mild sort of criticism because he's a very experienced guy. He's been in the industry for 30 years. He's been with Nike and Puma. He's Ron Hawker since it's sort of breakout. Capital allocation, I absolutely love. This is my favorite kind of setup. There's no dividend. Dividends have the double taxation in the state. Ideally, Berkshire doesn't run a dividend. They buy back stock. These guys don't run a dividend. They have no debt. They buy back stock. Buybacks are 80% of free cash flow. They're really focused on the capital structure here. Sharecount fell 7% year-over-year. The shared buybacks were done at 102 and 104, and the stock is currently trading at 77, so they're underwater on those buybacks.

The buyback authorization is 4.7 billion, which is more than 40% of that market capitalization. If they continue to grow at the modest rate that they are and buyback stock at that level, the remaining shares will do very well. The amount of cash that they have is very, very conservative, 1.6 billion to 1.9 billion, and their cash flow positive. So I think it's a good thing that they continue to buy back stock. I don't want them to go into debt doing the buyback. I think that they'll just keep on buying back out of cash flow and using the cash on the balance sheet. I hope that they continue to do that. So, the two other alternatives that you could look at if you were considering some exposure to something like this, you could on the sort of most direct competitor to Hawker, growing a little bit faster, founders still there, trading at 14 times forward earning. So, it's a little bit more expensive, but it's also had a 40% slump.

from its 52-week high. And then there's Nike, which I mentioned earlier, which similarly, that's the BM off in the industry. Perhaps had some marketing missteps, perhaps it's just too big. It might just be one of those cyclical things too, where I think the market is, I think it's a broader market thing rather than necessarily a Nike specific issue. I still prefer a deck to both net cash and higher margins. I like seven times EV operating profit. It's around that sort of 7 to 8 times EVE that's pretty cheap for a business of this quality. On's growing a little bit faster, but I think that you're also paying for it because of the 14 times forward earnings. Nike is... The chart is a thing to behold to see how far it has fallen. I check in and every now and again just to see if it's bounced on. It's not interesting to me at these levels, but wow, that's been some... For what was... I remember a discussion between Buffett and loose simpson who was his he ran his insurance desk for a while and then he went and set up his own business before it passed away a few years ago and he had a debate. With buffered about why he like my key so much and so it's a real. It's been amazing to watch Nike kind of get knocked around the way that it has been and i don't know if that's. Tara for later if it's marketing issues like i sort of had this more work ish campaign that sort of seem to hurt them and they transition now back to more traditional sort of marketing.

As to fair value here, there's a few assumptions built in. If you assume no growth, fair value is probably roughly where it is, maybe a little bit of a

discount, 72 versus 77. I don't think that's a reasonable assumption because it is still growing pretty well. It's growing faster than inflation, significantly faster than inflation, plus the buyback will mean that. there's value accruing to the remaining shareholders at a pretty high clip for an extended period of time. I think that part of the sell-off has to be the slight reduction in growth. It was 16% last year. It's now 8% to the most recent quarter. Management says that they're trying to adjust to the tariffs. There's some timing issues. I also think that a lot of consumer-facing businesses are seeing this. I think there's a real squeeze on consumers. Interest rates are up. That hurts consumers.

Energy prices are up that hurts consumers, you know, diesel is very very expensive that filters through to all the other prices so that that's inflation and prices. We've also seen student loan repayments have been turned back on the state so that squeezes discretionary spending that would otherwise be spent on something like this at the margin. So I think that there are a lot of macro factors that aren't directly in. their control that are impacting and the tariffs that I mentioned earlier. I think that those things, they're a little bit cyclical when the consumer gets squeezed, these sort of opportunities pop up. It's a good chance to buy these sort of stocks when they're in this little bit of a slump like this. I would assume that hawker and on compete. For folks, I should have mentioned this. If you're not a runner, you might not know about the hawker shoes, but they have the very big selling point is they have the very fat shoes and they've got this little shape to them, this little rock that's supposed to help you run a little bit more easily, go a little bit faster. There's sort of a direct contrarian in the running community. You know, there was the barefoot craze for a little while where people wanted to know cushioning at all. I'm still honestly in the barefoot part of the market, but there's also this other side that they've gone the other way where you can have the additional padding and hawkers.

They're the additional padding guys. So there's this like philosophical debate among runners, which is the better shoe. I don't know the answer, but if you prefer the fatter shoes and you prefer the hawkers and people who like these shoes become very, very loyal to the brand. They love those shoes. Similar with args, not really a performance shoe more of like a in Australia. When I was a kid, you would never wear these things out of the

house that was sort of considered to be an inside shoe. And then they go Export it to the states and people started wearing them outside of sort of like a fashion thing. You'd see these attractive young girls wearing our boots. And so I sort of blew up a little bit and became very fashionable. I think that that fashion has sort of passed a little bit and now they're more comfort shoes, but you certainly see them around in winter when it gets a little bit cooler. So in summary, I like Deckers because It's very very clean across all of the sort of things that I care about. Capital allocation, management, the shoes have loyal followers and it's very clearly defined what they are in the market. People who like them love them and they're taking advantage of this sort of temporary undervaluation by buying back enormous amounts of stock. I think it's a reasonably safe bet, although as I said earlier, it's not the sort of moaty business that that SPGI on over Nordisk is, it's a much more fragile business because it rests on these two brands. But having said that, you are compensated because you're getting a much deeper discount. Yeah, I think this is a very interesting pick, Toby. It is like a Toby-like pick, for sure. Because when I was trying to look into it, it sounded so attractive, it's hard to come up with excuses not to buy. It's a very asset-like business.

they don't own their production facilities. I was just thinking about NOAA's case where they're flowing in capex to build those facilities so that they can increase production in case of, correct me if I'm wrong Toby, these guys just outsource it to partners or vendors in Vietnam and other places. So very cost-effective manufacturing, but nothing stays on their balance sheets and that shows in their ROIC. So amazing business and like, you know, I, I see hawker shoes everywhere. Whenever I'm going for like in a jog or anything. So it's it's quite popular So the only thing that I wanted to ask you what you answered at the end is like how should is the management and Are they buying more now buying back stocks more now than before looks like you said yes So that's a good sign as well and the CEO is also pretty good at like unlike Nike You're talking about which is and very interesting. They they made a couple of missteps in terms of how they were marketing their product, where they were positioning, they withdrew from their, say, the suppliers and the retailers and wanted to go direct sales. So they did a lot of missteps in terms of brand positioning. Looks like none of it under the current CEO has been there for a long time now and has really shepherded

the company and also grown the brands they hook up from the beginning, as you said.

The only concern I would have is the slowdown in growth in case of Hoka from say 16% per year to sorry 24% to 16% and you already mentioned UGG is kind of a maturing brand in the low mid-single digits that it is growing. I guess what are the potential of your base case coming through is what I'm thinking which means it's currently at the fair value range already and if that is true to be would it still be a good investment? That's my question. Of course, saying, how can UGG will go away or fade away? Yeah, that is a very edge bear case. I don't see that happening, though, from what I see the trends. But if they continue to slow and mature in their growth, absent a buyout by a private equity, what would be the returns in the slightly bearish base case that you just mentioned?

Thanks, Harry. I think through these in scenario analysis, I'll just take you through my scenarios. The bear case is that Hocker stalls and UGG for whatever reason is more of a fashion. And so it goes through this sort of fashion downturn, which, you know, that's possible. In that, I'm assuming growth of 2% across both brands, which is like less than inflation. So that's basically just like They're getting squeezed on costs there. It's not real growth. It's real shrinkage in inflation adjusted returns. And I've said the terminal multiple is eight times there. So that gets me to 72 per share versus 77. That's the bear case. My base case, this is just taking management numbers and just trimming them a little bit. In that instance, I say 3% growth and an 11 times multiple.

And that gets me to about 113 as fair value. And then there's a ball case where we say that the slowdown in Hocker growth is some sort of macro factor where people are not spending on these shoes because they're just getting squeezed elsewhere. They're not updating their shoes often because they're paying back student loans or more is going to groceries or more is going to the gas tank, which I think all of these things are actually happening. If these pressures were taken away, which I don't think they're happening anytime soon, but there's this possibility that those pressures do go away over time. And then you get back to more like 4% growth. And that probably warrants a 14 times multiple that gets you to like 160. I think

that that's a fairly low probability, but I think I think it's a kind of comparable probability to the bear case. So I think that they're both say 20% probabilities and then.

the base case, which is the management's case is a 60% probability. And so the mid-range there is something like 110 to 115 versus 72. I don't know which one's more likely, but that's sort of the way that I think through it. And so I think about the SKU in something like that, where my downside 72, my upside might be 161 or I don't think either of those scenarios is particularly likely and probably management's mid case. with management buying back stock or one of the things I really like is when management does take advantage of these undervaluation and they have the cash flow there to do that it really. Limits you downside because the more they buy back the more concentrated the value becomes for the shares that remain. And so there are lots of many good examples of companies that become no growth but management's very good at sort of using the free cash flow to buy back stock. I like auto nation has done that and I realize and lots of these.

They sort of just leverage buyout themselves on the market over time. This is assuming no private equity firm shows up to take them out. And you still end up with pretty good returns. In that instance, it sort of caps you down side a little bit. There's a bid there under the stock. And if they start running again, then all is good. So that's the way I think about it. So Tobi, classic Tobi pack. And I love it. tried to look at the fundamentals before I look at the share price. And of course I failed miserably this time around. So I looked up the stock first and saw it was trading at a 52-week low. And I could not square that whenever I looked at the fundamentals. It just, it looked off. I thought I would be looking at a declining business. And it was not, I wouldn't say it was fine all cylinders, but it looked very, very healthy. I was greatly surprised.

So I was sort of like trying to figure out like why is it that the market doesn't like this stock. Now I can come up with a few reasons and you also mentioned a few of them yourself. I think the base rate of what they're trying to do of re-accelerating and of course you can say that some of that is already priced in but you know if you look at other brands Crocs under

armor, sketchers, vans, Lulo. And I don't know if I offend anyone. If I group them all together, it's probably not fair. But it's very tricky to re-accelerate growth whenever you first see a decline. That's just the nature of the business. It's not specific to any brands. That's just part of it. So I think that there's probably a base rate skepticism included there.

there's probably also something to be said about. It's a tricky price point, like 200 for a pair of shoes. Now, I think there was probably a narrative around LVMH, you know, a few years ago where, oh, people with money always have money. And of course, you'll also see LVMH being flat. But it sort of like goes to what you were also getting at before where it's a tricky price point. Like there's a lot of pressures from, you know, whether it's tariffs or price of diesel and just general inflation. It's tricky for a lot of brands that are in that range where it is pretty discretionary and perhaps some of the things that you might not buy or perhaps you're going to wait another six months or whatnot with that purchase. I found it to be quite interesting that you mentioned that they have loyal buyers.

I don't think I'm the I'm the best person in terms of the tag group. I probably have used Nike for, I don't know, 10, 15 years. And then last time my wife said, I found these other brand, I think is Aztecs or something like that. I mean, like, I don't have a very sophisticated system. Like whatever my wife is, that's whatever I would use. So anyways, if I can sort of like say, I'm sure more people are way more fashionable than what I am. I think that there's probably something to say about the Apple test, right? Like, I don't know if you answer iPhone guys, but if I if I ask you guys like, hey, if you have an iPhone, how much could I pay you not to never to use an iPhone again and use an Android instead? You know, I don't know if we don't have to play the game because now I'm giving all kinds of biases is probably more than a thousand dollars is more. I don't know if it's more than 10,000. Like, there's probably an amount where you're like, okay, for a million bucks or whatever.

there's probably an amount where you're like, yeah, I'm never going to use an iPhone anymore. But the price is probably high, not just for you guys, but for a lot of listeners, like you're used to an iPhone, you really like it. There's probably something about the brand. It's not just functionality, but

probably something about the brand, something about the ecosystem, how if you have a MacBook, it works together. And so it's quite unreasonable for me to say this, because that number is obviously a lot lower with something like or or okay like it would be different like if I offer someone 20,000 you know they would probably choose another pair of shoes whereas I do think that some people probably I know 20,000 is a lot of money but some people would probably say no it's not enough for me never to use an iPhone again so there is something about how loyal people are and how price sensitive they are I think there's probably an element of what people say but also what people do and you could probably say the same thing about Apple So there's that component. Then there's another where I absolutely love their capital allocation. I think that's probably one thing I want to highlight. I would also be quite curious about just this signal that the stock is on the value, which I would imagine that it does or that they cannot buy, I'm going to say, a third brand. And it's not completely fair whenever I say a third brand because they do have a third brand. It's just very, very small. I think two is like 4% now. But like Whenever they acquire hookup, for example in 2013, it was almost free and now it's doing 2.6 billion in sales. But so it's like, should that be the strategy? Of course, it's not completely fair because they also have to use a lot of money in marketing to make it popular. But I don't know. And then there's probably a component where I would really like for a management to buy in the open market. But you can say that about all management and very few are actually doing that.

You know, it's kind of interesting that you mentioned Nike there before. I think our mutual friend Chris, I should have actually, I know I'm digressing completely, but the reason why we brought on Chris so many times is actually because Toby made an introduction back in the day. So that's why I'm always coming back to Chris. But next time I speak with him, I should probably ask, why did he sell Nike to buy Decker? I kind of feel that that's quite interesting. I sort of like the same team as you, like Toby, like I look up Nike from time to time because I just, I grew up with Nike. And this stock is just it's down 75% or the past five years is down 42% just this year. It's just it's absolutely amazing what's going on right now. And I think it's probably because I'm so unfashionable. But I have a really hard time figuring out like now this is cool and this is not cool anymore. And this is so I think that's probably goes back to one of my one of my concerns. Now,

with all of that being said, I know this sort of like famous last words, but at the valuation you're looking at right now. I mean, such a clean balance sheet. I'm just about to say I can't see it go wrong. And of course, the definition of a company that's down 90% is a company that's down 80% of them is half, you know, but I don't know. I think that was my two cents. I don't think there was any kind of question there for you. I think that the risks are there is this sort of fashion component, I think more less it's less fashion than People who are sport enthusiasts become gearheads a little bit and people who are running competitively they like a particular type of thing. And that's what I was saying before there's that philosophical debate about whether you want the much more cushioning or no cushioning at all. People who decided that they want the stability and the cushioning the shoes are surprisingly lightweight I've read for the amount of cushioning that they have. And so that's what the aficionados are going for.

That I agree that that's a very niche kind of part of the market. It's nowhere. I don't imagine that this is something that really grows to become a giant kind of business. I think that it's a very niche little running shoe market for enthusiasts who are into that particular. They like the geometry of the shoe. They've got this particular rock when you run. It's broad based and cushioned and that's the feeling that people like and once they find the shit they like to stick with it. Having said that there are real competitors out there on. Is a real competitor and so that's gonna cap how much they can charge for the shoes. And then just more broadly there's that i do think that the consumer is getting squeezed on many different fronts. Having said that i think that that's one of the reasons why they're suffering at the moment that's why many of these consumer facing consumer discretionary brands.

are suffering and if you have the patience and the wherewithal to buy when you see those sort of things happening then it's all very cyclical consumer discretionary the consumer goes from being squeezed to having better time so i think we saw a lot of the there's a huge amount of discretionary money around when everybody got their stimulus checks in 2021 and now we're in the other side where everybody's getting squeezed the free. You know, the better times will come again and these stocks will probably trade at a higher multiple and they currently trade in the interim. There's a little bit of growth and a pretty good buyback. And so I think it sort of muddles through and it

does okay. But the risks are the trade policy. The administration is really looking to reindustrialize America. I don't know if that policy changes with a change of government, but probably not. And I think that's probably a longer term focus now that the manufacturer will be moved away from China and towards the US. And so that trade policy, I don't foresee that really changing. I think that there's going to be a lot of volatility as they figure out what they do, but I don't think that the intention changes over time. And it's a one or two brand business. And there's competition in running shoes from some very big competitors. And Nike's out there. And I would say that Nike, with its stock down that much, is hurt. And they're probably looking to come back with Retool and figure out some new things and so they'll be a real competitor as they try and figure out what to do here. All the things that I can't find anything in the balance sheet or in management's compensation or in the way that management deal. I think it's very clean from that perspective and so I think it's a good opportunity, but it's not a multi-business the way the other two are. Some discount is necessary, but it's purely on its financials. I think it's too cheap where it is. Jens.

It has been amazing as always. Thank you. It's always privilege having the opportunity to talk stocks with you guys. Before that you go, Toby, take it away. Where can people learn more about you? We managed two funds, domestic US equities in mid cap and small cap. Mid cap is zig, small cap is deep. It's been a very bifurcated market where large growth has done very well and small cap value has done very poorly. That's not the way that it always is these things cycle. And I think that if you look at the capital allocation philosophies, they'll say, some allocation to gold, some allocation to globally dominant franchises, some allocation to small cap value. And so that's what I'm trying to be the small cap value part of the allocation. If you take that approach, you'll always have something that's working and something that's not the fact that it's uncorrelated to the rest of the.

The book is the feature and not the bug. It's going to perform idiosyncratically and differently from everything else. And so you can see that the performance when the rest of the market gets soft, sometimes small cap value does very well. And I've been around. I've been doing this for long enough that I've seen the good times in small cap value and the bad

times in small cap value. And so I anticipate better times in the future coming. Wonderful. Thank you, Toby. How are you or smack down the middle of Silicon Valley? How do you feel about small cap value? How can people learn more about you? Yeah. So, yeah, I feel nowadays, like, you know, every week is different. So my feelings are going up and down. That's how Silicon Valley is to nowadays. But a lot of great conversations happening in and around the valley, of course, with you guys in the value investing communities. So I try to engage with everyone. Twitter or X is a great place. I hang out at my handle is Hari Rama.

And I look forward to conversations. I blog on bitsbusiness.com. So look forward to conversations on Twitter. Fantastic. Thank you so much for your time. Thanks, sir. See you guys next time. Yeah. Thank you both. Good seeing you. Thanks for listening to TIP. Follow the Investors Podcast on your favorite podcast app and visit theinvestorspodcast.com for show notes and educational resources. This podcast is for informational and entertainment purposes only and does not provide financial, investment, tax or legal advice. The content is impersonal and does not consider your objectives, financial situation or needs. Investing involves risk including possible loss of principle and past performance is not a guarantee of future results. Listeners should do their own research and consult a qualified professional before making any financial decisions. Nothing on this show is a recommendation or solicitation to buy or sell any security or other financial product. Hosts, guests.

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